

Global Internet

Global Internet: Never interrupt your opponent while he is making a mistake



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A short, fictitious story designed to teach a moral lesson. To paraphrase benchmark operators Artificial Analysis, the launch and subsequent un-launch of Anthropic's Claude Fable 5 (ostensibly by order from the US Department of Commerce, on national security grounds) was the first time that the AI frontier moved backwards. Our base case is the decision will be reversed before too long, and Anthropic retakes its position at the top of various charts. But the weekend's news is worth thinking about beyond benchmark scores.

To err is human; to really foul things up requires a computer. We assume the reasons for the about-face are legitimate, but can't help but wonder how Anthropic now feels about calling Mythos "too dangerous to be released to the public", or about its blog post arguing for a coordinated slowdown in global AI research. The developer furor around Claude Fable 5 throttling performance on tasks related to LLM research was partly doused when Anthropic removed the throttle over the weekend, but the irony of Andrej Karpathy (AI pioneer, recent Anthropic hire) and Amanda Askell (head of Anthropic personality alignment) becoming technically barred from using Claude Fable 5 wasn't lost on the community.

A strong argument for sovereign AI. Anyone who uses AI models regularly will be familiar with issues like server congestion and rate limits. But the notion that a frontier AI model can simply be switched off on a whim from across the pond - no matter the reason - feels more like something out of a Bond movie. As agentic AI capabilities improve, these tools will become embedded in both existing services and new workflows. As these services become increasingly mission-critical, it would surprise us if large enterprise and sovereign operators outside the US didn't start asking uncomfortable questions about the dependability of cloud-deployed AI models where access is beyond their immediate control.

AI never sleeps. It probably wasn't an accident that Kimi and Z.ai, two AI labs we consider frontier in China, announced new models over the weekend. K2.7 Code promised better reasoning efficiency and reasoning capability upgrades. Z.ai's GLM-5.2 meanwhile positions itself against Claude Opus 4.8; both online developer feedback and our own locally-hosted benchmark tests returned encouraging initial results. Real counter-arguments remain, but on the margin these releases support the idea that China's leading labs can continue to keep pace with global peers. The idea that Chinese open-weights models might now occupy the rhetorical high ground too is a novel development.

AI in an era of geostrategic competition. What happens next to Claude Fable 5? Anthropic called the episode a misunderstanding, and there's a decent chance the US administration lives up to the Street's favourite four-letter acronym... again. That said, an interesting precedent was set that's probably not bullish for the US SOTA labs' global aspirations in use cases where dependability is important... or stock market narratives contingent on their upcoming IPOs and continued success. When Chinese regulators shook up their Internet sector a few years ago, valuation multiples investors were willing to accept compressed dramatically.

INVESTMENT IMPLICATIONS

We think administration's decision to restrict frontier model access by nationality serve as a reminder of the potential for (geo)political narratives to intersect with AI development, especially as frontier AI capabilities become ever more powerful.

BERNSTEIN TICKER TABLE

12 Jun 2026						TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.								
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E	
700.HK (Tencent)	O	HKD	463.60	780.00	(49.9)%	CNY	28.09	30.00	34.91	14.2	13.3	11.5	
BABA (Alibaba)	O	USD	112.82	180.00	(26.2)%	CNY	65.41	26.82	46.57	11.7	28.4	16.4	
9988.HK (Alibaba)	O	HKD	110.20	176.00	(42.4)%	HKD	8.82	3.69	6.68	10.8	25.8	14.2	
ASIA			1,966.72										
SPX			7,431.46										

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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Alibaba Group Holding Ltd

We value Alibaba at US\$180/HK\$176 per share, based on our SOTP valuation for FY+1 revenues and profits in its core e-commerce and Cloud businesses.

RISKS**Tencent Holdings Ltd**

The main downside risks associated with Tencent include macroeconomic risks (e.g. credit, retail consumption), fluctuations in user engagement with its platforms, gaming and advertising demand competition with rival internet platforms, and regulatory risks – for example related to China's anti-monopoly regulations.

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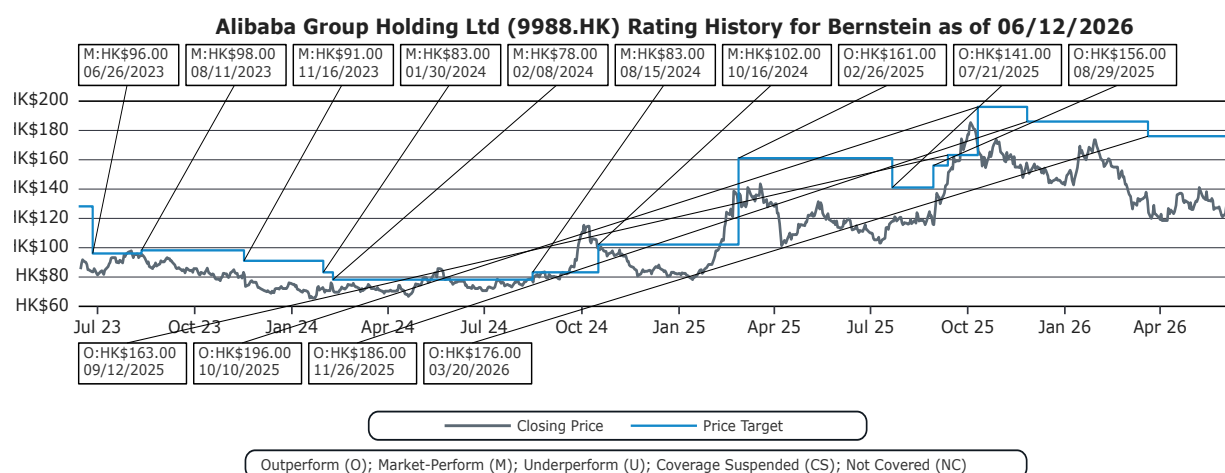
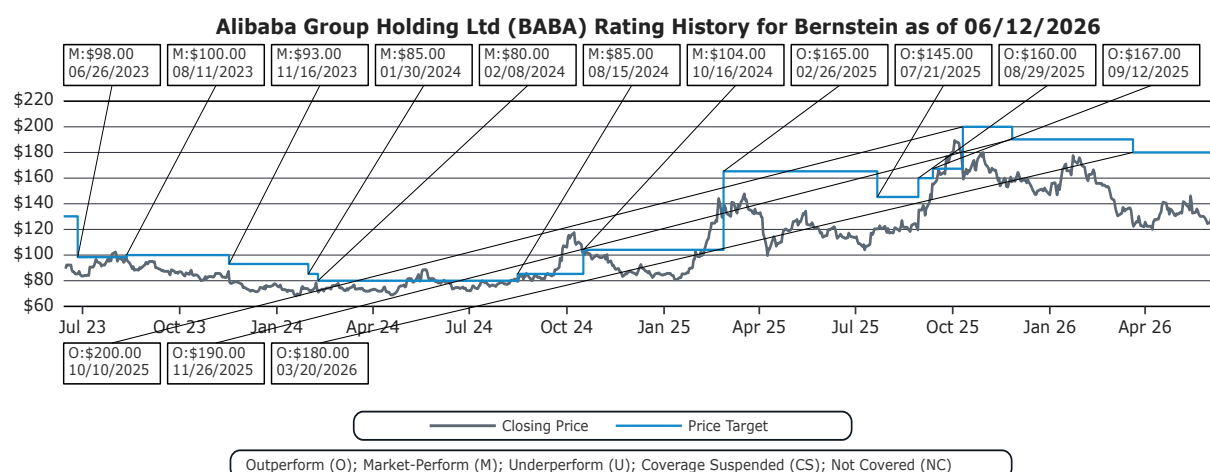
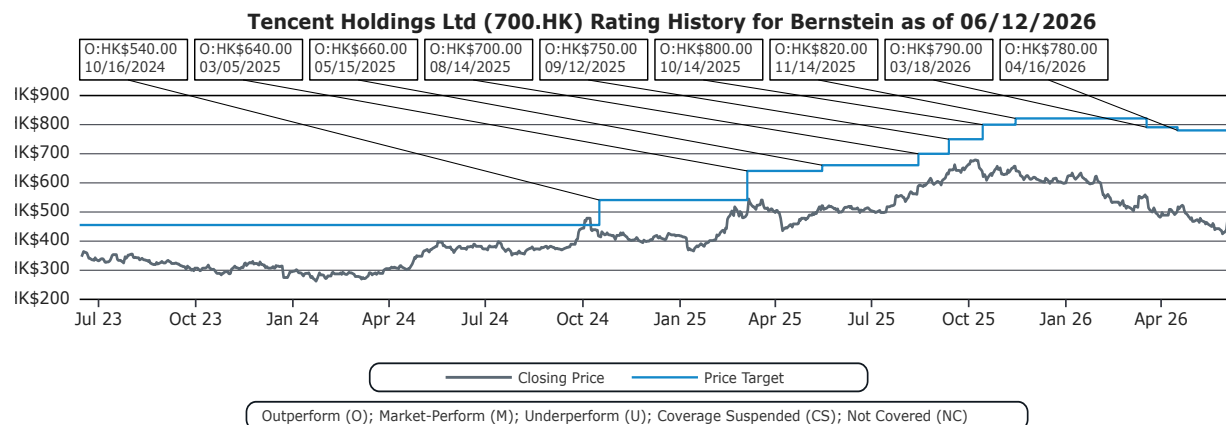
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